

as passive partners. Except for payout of appropriate remuneration (management fees in case of the fund industry), profit distribution amongst partners is not treated as income from services," he explains.

Reddy says these regulatory complexities put Indian funds at a disadvantage. "Somebody sitting in New York can do a deal much faster and efficiently, without even visiting India, at more tax-friendly terms, while the hard-raised money of an Indian fund gets GST imposition because it is based here. How do we compete?" Reddy asks.

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A **NOTHER LONG-PENDING** demand is to bring parity in the treatment of LTCG for listed and unlisted securities. The LTCG tax rate is 10 per cent for listed shares and 20 per cent for unlisted shares. PE/VC is an asset class that invests patient, risk capital and stays for the long term, industry players say, adding that bringing parity in LTCG tax will inspire more investors to come into the industry.

Pranav Parikh, Managing Partner of PE and VC Funds at Edelweiss Financial Services, says foreign pricing rules are still very restrictive in India. "One of the things that restrict foreign-owned entities in this country is that they are considered foreign-owned and controlled even though all their capital is in India and it never leaves the [country's] shores," he says. He also calls for hedging and leveraging to be allowed in the AIF structure.

Manav Nagaraj, Partner-General Corporate at Shardul Amarchand Mangaldas & Co., adds that the Damodaran-headed panel should also look into issues related to convertible instruments, downside protection, ease of investment and exit and ease of fund formation. It should also introduce global best practices, he adds.

Rashi Kapoor Mehta, Partner at



► **Bring parity in the treatment of LTCG for listed and unlisted securities**

► **Ease taxation of 'carried interest'**

► **Resolve issues related to convertible instruments**

► **Streamline investments and exits; make IPO processes efficient and fast**

► **Ease rules of fund formation and simplify foreign pricing rules**

► **Bring clarity on round-tripping of funds**

► **Create a single-window clearance system and a separate regulatory body for AIFs**

Universal Legal, also calls for better clarity on the use of convertible debt structures and SAFE (simple agreement for future equity) notes by angel platforms. "There are platforms doing investments via SAFE notes and compulsorily convertible debentures (CCDs). What checks and balances... [have] these platforms... [put] in place?" she asks. CCDs are debt instruments that have to be mandatorily converted to equity shares at a later stage.

Mehta adds that while angel funds have a different set of criteria for investors, they need to be drilled down further to accommodate participants with smaller ticket sizes. She also expects some employee-friendly regulations for ESOPs. The panel, Mehta adds, should bring clarity to the concept of round-tripping, which refers to funds channelled through foreign firms as investments by resident investors that ultimately return to the origin under the guise of foreign investment.

Vijay Lavhale, Co-founder of venture debt marketplace 8vdX, agrees. He says high-net-worth individuals (HNIs) are unable to invest in offshore funds that invest in Indian start-ups due to round-tripping regulations, even though they are allowed to invest in offshore venture funds using the liberalised remittance system (LRS). "Therefore, only 'plugged in' angels, who have access [to ventures] can invest in tomorrow's unicorns—especially those that are incorporated offshore. Regulations should be eased to allow HNIs to invest in offshore venture funds that make investments in Indian start-ups."

Lavhale points to another pain point: foreign venture debt providers incur additional costs because of the tenure terms in the current structure. "[Such] investors... are treated the same as [those who provide] non-convertible debentures (NCDs) to large corporations," he